CONTRACTS (SECTION D)

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MIDTERM EXAMS, FALL 2025

EXAM DATE: THURSDAY, 16 OCTOBER 2025

INSTRUCTIONS

Answer the questions below in NOT MORE THAN (FOUR) PAGES, SINGLE-SPACED, Times New Roman or Aptos, font 12.

The duration of this exam is **1 hour 30 minutes (100 minutes), including reading time**.

This is an Open Book Exam. You are however **not** allowed to use materials from the Internet or use the Internet during the exams, except to submit your answer at the end of the exam.

Please read the question carefully. State and discuss the relevant rules that govern the issues, apply the rules to the appropriate facts, and set forth a conclusion that resolves the issues. **Where appropriate, use the cases discussed in class to support your discussion of the relevant rules and bolster your analysis**.

This exam is designed to assess your knowledge. Accordingly, students may not collaborate and may not communicate in any form with anyone in responding to the question. **The rules and policies on academic integrity apply to this assignment.**

- The assignment must be submitted through the Osgoode on-line drop box at the end of the examination at 12:20 pm. The on-line drop box is available through the MyOsgoode website.
- Please make sure to include a **separate cover sheet**, which should provide:
  - the name of the course.
  - your name.
  - Instructor's name.
  - your section.
  - the date.
  - course name and section.
  - **the word count** (before submission).
- Assignments should be submitted in **WORD** format.
- Save your file with: **Your name_Midterm Exams_Fall 2025** before submission.

Question 1

Passionate Cards Limited (PCL) is a Toronto-based company that makes bespoke Christmas cards. Their business premises are filled with papers and cardboard, which are easily combustible. In the past, PCL had also been a victim of theft and vandalism, allegedly from hooligans who hate Christmas.

Paw Patrol Limited (PPL) is a family-owned security company also based in Toronto. PPL is a highly regarded company, and its employees, locally known as "*The Men*", are noted for the high-quality security services they provide. For several years, female employees of PPL have complained by the non-inclusive nature of the "*The Men*" tag, but the label persists and, occasionally finds its way into PPL official documents much to the dismay of the female employees.

In April 2025, PCL entered into a contract with PPL under which the latter was to provide security services for the former. The Contract was contained in one of the standard printed forms used by PPL, and it contained these two terms:

> ...
>
> **4.** PPL shall provide PCL night patrol service on PCL's business premises. This service shall comprise not less than eight visits per night for seven nights per week.
>
> ...
>
> **10.** The liability for any loss or damage suffered by PCL through theft, fire, vandalism or any other cause during a night, to the extent that such loss or damage is attributable to the negligence of PPL or its Men, shall be limited to $20,000.
>
> **11.** For the purposes of this contract, "night" means 19:00-06:00 Eastern Standard Time.
>
> ....

On 30 July 2025, PCL was advised by its lawyers that Clause 10 of the Contract should be reviewed. On 15 August 2025, PCL and PPL met to negotiate a revision to Clause 10, but they were unable to agree on a precise language for the variation.

On 20 August 2025, Mary-Ann Skye, an employee of PPL, visited PCL's premises on night petrol. It was around 01:30. She unlocked the front door and went through the premises, switching on the lights as she went. As she did these, she was singing, "Let it Burn," a hit song from Usher Raymond IV. Mary-Ann was going through a breakup with his fiancé and this song had been on her lips for more than a week.

Inspired by the song, she lit a match and threw it onto a cardboard box. It immediately burst into flames. It appears she only meant it to be a very small fire – similar to the one in the songs video clip. She intended to put it out within a minute or two, but it got beyond her control.

She panicked, became terrified and dialed 911 for the Toronto Fire Service. She tried to stop the fire from spreading with a nearby fire extinguisher but was overwhelmed and ultimately unsuccessful. By the time the Fire Service arrived, a wall of flame had already engulfed the building, and flames were coming through the roof. A substantial part of the business was gutted, resulting in an estimated loss of $97,500.

On 30 August 2025, after the fire adjuster report was issued, PCL and PPL met and agreed that, in return for not suing PPL, PCL will agree to delete Clause 10 from the Contract. A revised contract deleting Clause 10 was signed the same day.

On 20 September 2025, PCL brought an action in negligence against Mary-Ann seeking damages of $105,000. To defend herself in the legal action, Mary-Ann has come to you for advice. Advise her on the following issues only:

(A) Whether Mary-Ann can raise Clause 10 of the original Contract between PPL and PCL as a defence to limit her liability in the action brought against her by PCL to not more than $20,000. [*recommended: about 2.5 pages*]

(B) Whether the removal of Clause 10 in the original Contract between PCL and PPL on 30 August 2025 is effective to prevent Mary-Ann from invoking the clause. [*recommended: less than 0.5 page*]

Question 2

In *Combe v Combe* [1951] 2 KB 215, 220, Lord Justice Denning noted that, “The doctrine of consideration is too firmly fixed to be overthrown by a side-wind. Its ill-effects have been largely mitigated of late, but it still remains a cardinal necessity of the formation of a contract”.

Using decided cases and reasoned arguments, assess this observation including your reflections on the continuing relevance of consideration in Canadian contract law. [*recommended: about 1 page*]